National Company Law Tribunal

Allahabad Bench

CP NO. 19/ALD/2018,
CA NO. 174/ALD/2017, I A No. 213/2018

ATTENDENCE - CUM-ORDER SHEET OF THE HEARING OF ALLAHABAD BENCH OF THE NATIONAL COMPANY LAW TRIBUNAL ON 06.02.2019

NAME OF THE COMPANY: Jaiprakash Associates Ltd. with Jaypee Infrastructure Development Ltd.

SECTION OF THE COMPANIES ACT: 230/232 of Companies Act

Sl. NO.	Name	Designation	Representation	Signature
1.	Manish Trivedi	Advo	ICICI Bank	
2.	R. P. Agarwal	Adv.	Petitioners.	
3	Pradeep Singh Sisodia	CGSC	ROC/Central govt	

CP NO.19/ALD/2018, CA NO.174/ALD/2017, IA NO.213/2018

Sh. R.P. Agarwal, Advocate for the petitioner, Sh. Manish Trivedi, Advocate for ICICI Bank and Sh. Pradeep Singh Sisodia, CGSC for ROC/ Central Government are present.

The question for determination is whether CP No.19/ALD/2018 filed by Jaiprakash Associates Ltd. (JAL) and Jaypee Infrastructure Development Ltd. (JIDL) before the National Company Law Tribunal, Allahabad for seeking approval of Scheme of Arrangement between JAL and JIDL and their respective shareholders and creditors has to be heard first or CP No.(IB)330/ALD/2018 filed by the ICICI Bank against JAL U/s 7 of the Insolvency & Bankruptcy Code to initiate insolvency resolution process before the Adjudicating Authority, NCLT, Allahabad has to be heard first.

It is pertinent to mention here that CP No.19/ALD/2018 is filed after taking the approval of the shareholders and creditors of JAL and JIDL. During the pendency of CP No.19/ALD/2018, IDBI Bank initiated proceedings U/s 7 of the IBC against the JIL, vide CP No.(IB)330/ALD/2018. During the pendency of Section 7 of IBC proceedings, a writ petition bearing Writ Petition(s) Civil No.744/2017, in the case of Chitra Sharma and Ors. v/s Union of India and Ors. was filed before the Hon'ble Supreme Court. During the pendency of the said proceedings before the Hon'ble Supreme Court, Reserve Bank of India moved an application seeking permission to direct the lenders of JAL to initiate CIRP against JAL. The Hon'ble Supreme Court in its final order dated 9th August, 2018 passed in the abovementioned Writ Petition *interalia* allowed the Reserve Bank of India to direct the lenders of JAL to initiate CIRP against JAL under IBC. Pursuant to the order of Hon'ble Supreme Court and

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.ne directions of the RBI, ICICI Bank initiated proceedings U/s 7 of the IBC against the JAL vide CP No.(IB)330/ALD/2018.

It is also necessary to mention that during the pendency of CP No.19/ALD/2018, JAL moved before the Hon'ble Allahabad High Court by filing Writ –C No.- 31329 of 2018. The Hon'ble Allahabad High Court refused to interfere in the matter and given liberty to the JAL to participate in the proceedings under IBC and may raise all possible objections as are permissible in law. The said order was carried in appeal to the Hon'ble Supreme Court. The Hon'ble Supreme Court vide its order dismissed the Special Leave to Appeal (C) No(s). 26907 of 2018 giving liberty to the petitioner to raise all of the pleas available to it before the NCLT and the Tribunal is directed to consider the same in accordance with law.

At this juncture after the filing of CP No.(IB)330/ALD/2018 by the ICICI Bank, it also moved an application vide IA No.213/2018 in CP No.19/ALD/2018 with a request to implead ICICI Bank in CP No.19/ALD/2018.

The crucial question involved in CP No.(IB)330/ALD/2018 is whether any default was committed by the JAL or not.

Ld. Counsel appearing for the JAL cited a decision of the Hon'ble Kerala High Court reported in AIR 1995 Kerala 57, which deals with the stay of matter under Section 10 of the CPC. We are of the considered view that Section 10 of the CPC is not applicable to the proceedings pending before us. Section 10 of the CPC deals with only trial of the suits. Therefore, the above said decision is not applicable to the facts of this case.

Ld. Counsel appearing for the JAL also relied upon another decision of Hon'ble Punjab & Haryana High Court reported in AIR 1992 Punjab & Haryana 217, wherein it is held that the subsequent suit shall be stayed applying Section 10. Section 10 applies only to civil suits relating to same transaction and where the issues are substantially same. Therefore, that decision is also not applicable to the facts of this case.

A perusal of the Scheme of Arrangement, which is pending for sanction shows, it has been prepared to give effect to a part of the comprehensive Debt Realignment Proposal (DRP) for JAL as approved by the Joint Lenders Forum at their meeting held on 22.06.2017. Therefore, the decision in CP No.19/ALD/2018 may have a bearing on the issue involved in CP No.(IB)330/ALD/2018, which is a petition filed U/s 7 of the IBC by ICICI Bank.

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Therefore, in the given facts & circumstances of both the cases and in view of the questions of law involved is common in both the petitions and to have a determination of the matter of the controversies effectively, this Tribunal/ Authority is of the considered view that it is necessary to hear CP No.19/ALD/2018 simultaneously with CP No.(IB)330/ALD/2018, though it is to be heard by this Bench in two different capacities, one is in the capacity of NCLT and the other is in the capacity of Adjudicating Authority functioning under the provisions of the IBC. Hence, it is accordingly decided to have a hearing of both the petitions i.e. CP No.19/ALD/2018 and CP No.(IB)330/ALD/2018 simultaneously.

List both the matters for hearing on 14th March, 2019.

Dated: 06.02.2019

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(SAROJ RAJWARE)
MEMBER (TECHNICAL)

Sd

(BIKKI RAVEENDRA BABU)
MEMBER (JUDICIAL)

Typed by:
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